

WHO ARE HEDGERS?

Hedgers, as the name suggests, are traders that want protection against the risk of price movement or price uncertainty that is not in their favor. The primary motive here is not to profit from the derivative contracts but reduce the risk of major losses due to change in prices.

For instance, a sugar seller would not want the price of sugar to fall and therefore is looking to hedge/protect herself against a major price drop in the future.

On the other hand, a sugar buyer (say for bakery raw material) would not want the price of sugar to rise and therefore is willing to hedge himself against the price rise in the future.

